

GUIDE 08 · REFERENCE

The Private Markets Glossary.

Plain-language definitions of the terms you'll meet across private markets — from capital calls to vintage years, grouped so they're easy to find.

A reference companion to the HeadOverSea education series.

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01 The basics

Private markets

Investments in companies and assets not traded on public exchanges.

Private equity

Ownership stakes in private companies, aiming to grow and sell them.

Private credit

Lending directly to companies outside the public bond market.

Real assets

Tangible investments such as real estate and infrastructure.

Fund

A pooled vehicle through which investors access private strategies.

General partner (GP)

The manager that runs a fund and makes investment decisions.

Limited partner (LP)

An investor who commits capital to a fund but doesn't manage it.

Accredited investor

An investor meeting the criteria to access certain private funds.

02 Structure & mechanics

Commitment

The total amount an investor pledges to a fund.

Capital call

A request for part of committed capital as deals are made.

Drawdown

The act of a fund calling committed capital from investors.

Distribution

Cash returned to investors from income and asset sales.

Vintage year

The year a fund begins investing; used to compare funds.

Hold period

How long a fund expects to own an asset before selling.

Closed-end fund

A fund with a fixed life that returns capital as assets sell.

Evergreen fund

An open-ended fund accepting new capital with periodic redemptions.

03 Returns & risk

IRR

Internal rate of return — an annualised measure of a fund's performance over time.

Multiple (MOIC)

Total value returned relative to capital invested — e.g. 2x means double.

Illiquidity premium

The extra return for accepting that capital is locked up.

Leverage

Borrowed money that magnifies both gains and losses.

J-curve

The early dip in returns before investments mature and pay off.

Carried interest

The share of profits a manager earns for strong performance.

Management fee

An annual fee charged by the manager to run the fund.

Net asset value (NAV)

The estimated value of a fund's holdings at a point in time.

04 Strategy terms

Core / Value-add / Opportunistic

Labels for how much risk a real estate strategy takes on.

Direct lending

Senior loans made directly to mid-sized companies.

Mezzanine

Debt ranking below senior loans, paying more for higher risk.

Secondaries

Buying existing stakes in private funds from other investors.

Co-investment

Investing directly in a deal alongside a manager, often fee-light.

Fund-of-funds

A fund investing in many other funds for diversification.

Dry powder

Committed capital a fund has not yet invested.

Underwriting

Assessing and structuring an investment before making it.

05 Important information

IMPORTANT INFORMATION

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Private markets investments involve significant risks, including the potential loss of capital, limited liquidity, long holding periods, the use of leverage, and reliance on the manager's execution. Past performance does not predict or guarantee future results, and there can be no assurance that any strategy will achieve its objectives. Investors should consider their own circumstances and consult professional advisers before investing.



HeadOverSea

189 South Orange Ave, Ste 1250, South Tower
Orlando, FL 32801, United States · contact@headoversea.com